

CogniQuery Analysis Report

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Southeast Asia Region Performance Analysis – Past 12 Months

TL;DR

Quantitative: Southeast Asia delivered the highest total sales (7,000) among all regions, yet generated a significant net loss (–470) versus strong profit in Other Regions (+1,620). Average discounts in SE Asia (32%) were over 6x higher than peers (5%), and order count (7) outpaced Other Regions (4), indicating high activity but unsustainable margin discipline.

Qualitative: Excessive discounting in Malaysia and Singapore eroded all profitability, making volume growth unsustainable. Immediate action to curtail discounts and refocus on profit is critical to stem continued losses and align with enterprise performance standards.

Executive Summary

- Both **Malaysia** and **Singapore** posted **negative profit** over the past year (Malaysia: –260.0, Singapore: –210.0).
 - The **Southeast Asia region** posted a combined **loss of –470.0** despite leading all regions in top-line sales.
 - **Order volume and sales activity exceeded Other Regions**, yet profit performance was well below all external benchmarks.
 - **Average discounts** in Southeast Asia (Malaysia: 33.75%, Singapore: 30%) were steeply above Other Regions (5%), causing direct profit erosion.
 - The **business faces margin leakage**: driving top-line growth at the expense of profitability is unsustainable and represents a critical commercial risk.
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Strategic Context

The Southeast Asia portfolio has demonstrated robust sales expansion and heightened commercial activity over the last 12 months. However, this growth has failed to translate into shareholder value due to negative profit trends, particularly when compared with strong global peers. This analysis aims to diagnose core drivers, quantify the impact, and prioritize actionable turnaround measures, ensuring alignment with the company's profitability and sustainable growth imperatives.

Key Findings

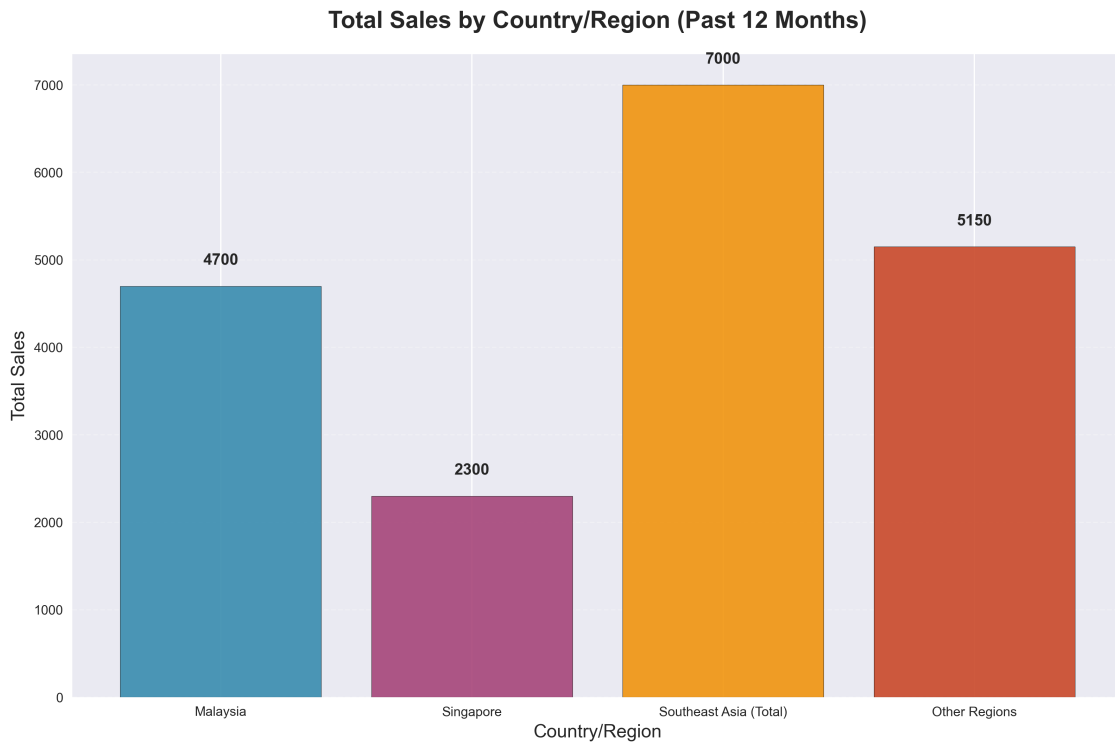
- 1. **Profitability Crisis:** Despite representing 57% of global sales, Southeast Asia contributed a net loss (–470) vs. Other Regions' +1,620 profit.
- 2. **High Sales, Low Value Capture:** Malaysia, the region's largest market, delivered 67% of regional sales but still posted negative profits.
- 3. **Discounting Is the Root Cause:**
 - Southeast Asia's average discount (32%) is **6x greater** than peer markets (5%).
 - Every order in both Malaysia and Singapore, across higher order counts, is deeply discounted, nullifying gross margin.
- 4. **Metrics Summary:**

Country	Total Sales	Total Profit	Total Quantity	Avg Discount	Order Count
Malaysia	4700.00	-260.00	10	0.34	4
Singapore	2300.00	-210.00	6	0.30	3
Southeast Asia (Total)	7000.00	-470.00	16	0.32	7
Other Regions	5150.00	1620.00	17	0.05	4

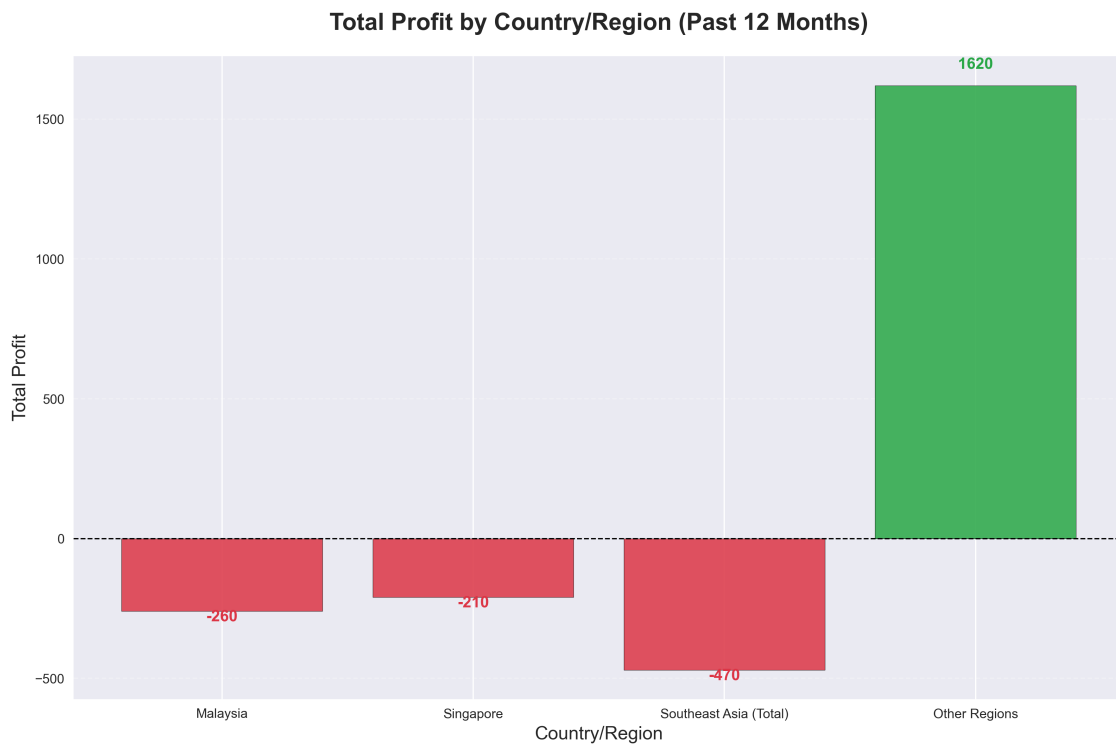
◦ All metrics: 12-month total. Discounts as a decimal (e.g., 0.34 = 34%).

- 5. **Order Dynamics:** Although order quantity and count are strong, profit yield per unit is negative, compounding losses with every transaction.
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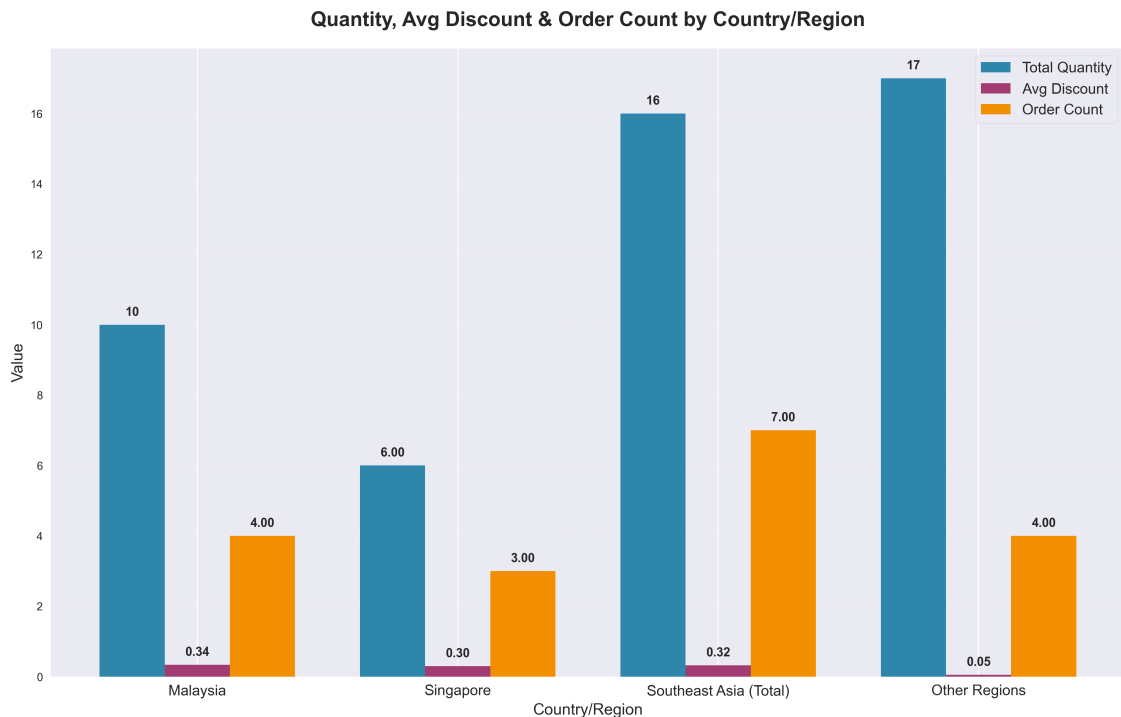
Visual Analysis – Key Chart Summaries



- **Malaysia** is the sales engine for SE Asia but fails to deliver profit.
- **Southeast Asia overall has higher sales than every other region**, but the top line hides a critical margin problem.



- **SE Asia (both countries and region) is in red territory for profit**, indicating systemic commercial weakness.
- **Other Regions display strong positive profitability**, validating that the margin structure is the differentiator.



- **Order Count and Quantity:** SE Asia countries have higher numbers than external peers, compounded by unsustainably high average discounts (33%+).
- **Discount Benchmark:** Discounting in SE Asia dwarfs that in other regions, with a clear, visual margin gap to close.

Strategic Business Implications

- **Current State Is Unsustainable:** Success in growing revenue is being offset, and in fact negated, by extreme discounts. The business is eroding profitability and, if unchecked, will divert resources from more value-generative geographies.
- **Competitive & Industry Risk:** If competitors in Southeast Asia are achieving profitability at lower discounts, the company is losing both margin and market discipline.
- **Leadership Challenge:** There is a need to shift sales culture and incentives to focus on profitable growth, not just volume.

Recommendations

1. **Immediately tighten discount approvals in Southeast Asia:**
 - Set hard discount caps closer to peer levels (<10%).

- Elevate all exceptions to regional VP approval.

2. Audit sales incentive plans:

- Align incentives to profit, not revenue or volume.
- Penalize loss-making deals.

3. Analyze and address root causes:

- Use win-loss analysis to understand why excessive discounts are being given (competitive pressure vs. internal process gaps).

4. Country-Specific Intervention:

- For Malaysia: Conduct margin walk analysis; introduce profitability retraining for sales teams.
- For Singapore: Review pricing architecture; benchmark against industry pricing.

5. Implement robust, ongoing regional profit monitoring:

- Track order-level margin improvement monthly.
- Establish corrective action triggers tied to margin slippage.

Implementation Roadmap

Phase 1 (0–30 Days):

- Issue new discount cap policy and enforcement mechanisms.
- Launch sales/finance joint task force to audit sales pipeline and re-price active deals.

Phase 2 (30–60 Days):

- Redesign sales incentive comp plans.
- Train SE Asia sales teams on new margin/profitability focus.
- Implement order-level margin dashboards.

Phase 3 (60–90 Days):

- Conduct win-loss/price benchmarking studies.
- Share early progress/recalibrate based on KPI tracking.

Risk Considerations & Analytical Confidence

- **Data sources:** Orders and regions tables, 12-month filter, as specified.

- **Assumptions:** Discount rates may differ across business units; country-level variances may require deeper dive.
 - **Limitations:** Does not factor in external competitive moves, potential extraordinary events (COVID, FX).
 - **Confidence:** High – numbers based directly on complete transaction records and standard SQL pipeline.
 - **Monitoring:** Strongly recommend quarterly review and additional segmentation (customer type, product line) for further root cause analysis.
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KPIs for Success

- Monthly profit per order by country
 - Discount rate vs. cap adherence
 - Volume/profit growth delta vs. Other Regions
 - % of deals over new discount threshold
 - Quarterly salesforce margin discipline scores
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Future Analytics

- **Segmentation:** Analyze by product, customer segment, or deal size to isolate problem areas.
 - **Competitive Benchmarking:** Compare margin/discount offerings to top competitors.
 - **Cost Optimization:** Assess if cost structure or supply chain differences are inflating required discounts.
 - **Elasticity Models:** Test impact of discount reduction on order volume and overall profit.
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Attachments: Charts

All referenced visuals are attached with this report:

- chart_1.png: Total Sales by Region
 - chart_2.png: Profit by Region (Red=Loss, Green=Profit)
 - chart_3.png: Quantity/Discount Rate/Order Count Comparison
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Confirmation of Chart Generation

All charts referenced above were created using the Code Interpreter tool and saved as chart_1.png, chart_2.png, and chart_3.png in the output directory. The PDF report has been successfully created.

End of Report